deficits among other things. Special features of the act and rules are as under:

Act

- Central Government to take appropriate measures to reduce the fiscal deficit and revenue deficit so as to eliminate revenue deficit by March 31, 2008 and thereafter build up adequate revenue surplus
- Rule to be made under this Act to specify the annual targets for reduction of fiscal deficit and revenue deficit, contingent liabilities and total liabilities
- The revenue deficit and fiscal deficit may exceed targets specified in the rules only on grounds of national security or national calamity or such other exceptional grounds as the Central Government may specify
- The Central Government shall not borrow from the RBI except by way of advances to meet temporary excess of cash disbursements over cash receipts
- RBI not to subscribe to the primary issues of the Central Government securities from the year 2006–07
- Central Government has to take suitable measures to ensure greater transparency in its fiscal operations. As a part of it, Central Government has to lay in each financial year, before both houses of Parliament, three statements with budget. They are as follow:
  i. Macroeconomic Framework
  ii. Fiscal Policy Strategy Statement and
  iii. Mid-term Fiscal Policy Statement.

These are explained under the heading 'Budget Documents'

Rules

- Finance Minister to make a quarterly review of trends in receipts